



# NDLS Birmingham Location: Financial Analysis and Recommendation

# Our Team: The Fantastic Four



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# Background & Summary

Our team was tasked with conducting a financial and qualitative analysis to determine the feasibility of opening a new Noodles & Company store in an assigned zip code (35242). Using projected financial data, market segmentation insights, and industry benchmarks, we assessed whether this location aligns with NDLS’ growth strategy and financial goals.

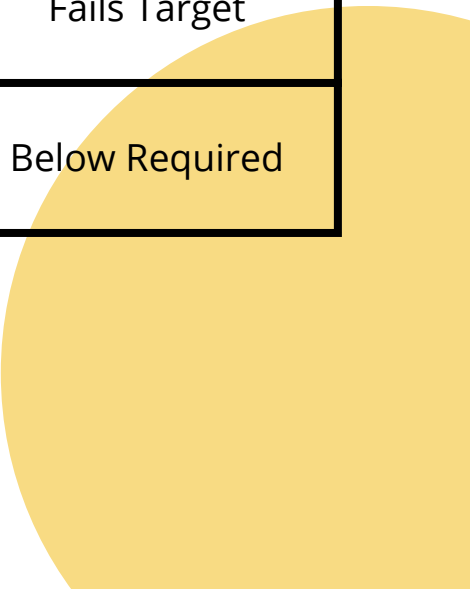
To accomplish this, we developed a multi-year projected income statement and assessed various financial performance indicators. Additionally, we compared the assigned location’s market characteristics against NDLS’ target demographics and historical store performance.

**Recommendation: Do not proceed with opening in Zip Code 35242**

Key concerns: Negative NPV (-\$43,818) and an IRR (8.01%) below NDLS’ WACC (10%) indicate an unfavorable financial return despite strong revenue growth. Lack of NDLS target demographic in this area.

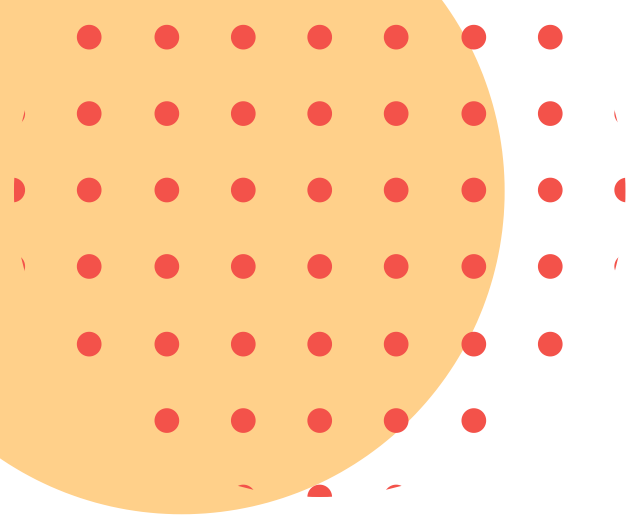
Industry Context: Based on Noodles & Company’s 2023 Financial Results, restaurant contribution margins declines to 14.7% in Q4 2023, and total revenue decreased by 8.9% in the same period.

| Metric                          | Required               | Projected | Outcome             |
|---------------------------------|------------------------|-----------|---------------------|
| Year 4 Revenue                  | >\$1.41M               | \$1.86M   | Meets target        |
| Restaurant Contribution Margins | Comparable to NDLS RCM | 13%       | Lower than expected |
| NPV                             | Positive               | -\$43,818 | Fails Target        |
| IRR                             | >10% (WACC)            | 8.01%     | Below Required      |





Qualitative Analysis: Comparing  
NDLS Target Market to 35242  
PRIZM Segments



## NDLS Demographics

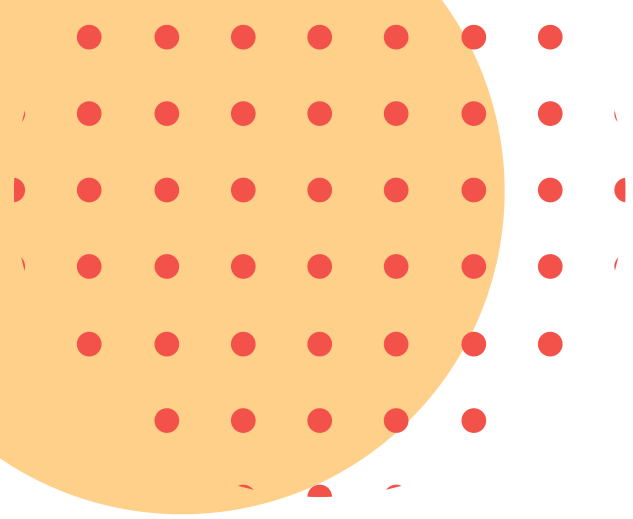
# Market Research: PRIZM

### Millennial Families

NDLS appeals strongly to millennial families, as 48% of households have children and 83.5% have at least two people, making family-friendly dining a key factor in site selection. The brand positions itself as a strong option for families due to its variety of friendly and nutritious meal options.

### Young Adults

Their second claim is that young adults represents a key segment for NDLS, with 18% of the market aged 19-24 and 26% aged 25-34. this group includes young professionals and college graduates who seek fast-casual, customizable meal options. These consumers favor quick, high-quality meals with healthy, customizable ingredients, aligning well with NDLS' brand positioning and menu offerings.



## 35242 Demographics

# Market Research: PRIZM

### Country Squires

Wealthy Middle Aged Family Mix; higher disposable income, likely to spend on premium casual dining

NDLS' target consumers align best with Country Squires and Small Town Collegiates segments, as these groups value quality, fast-casual dining and have the income to support these choices. However, both are not a perfect fit and market conditions present significant challenges that impact viability.

### Traditional Times

Upper Midscale Mature without Kids; value quality dining but may prefer familiarity over new brands.

The existing casual dining and fast-casual landscape in zip code 35242 is highly competitive, with multiple well-established brands catering to similar consumer preferences. While the area's affluent demographics suggest a customer base willing to spend on dining, NDLS' financial projections indicate that the investment required does not justify the expected returns. It is important to note that of the demographics in this area most of them do not line up with the target market. For example, Traditional Times and Big Fish Small Pond, consist of mature adults without children, who are less likely to be regular customers at a fast-causal chain that appeals more to younger, professionals and families.

### Striving Selfies

Downscale middle aged mostly without kids; budget-conscious and may opt for value dining options.

### Small Town Collegiates

Downscale middle aged family mix; frequent diners looking for affordable, family-friendly options.

### Big Fish Small Pond

upscale mature without kids; preference for high-quality dining experiences, willing to spend on premium ingredients.

Additionally, comparable restaurant sales declined by 4.2% system-wide for NDLS in Q4 2023, signaling potential headwinds in sales growth across the brand. These factors highlight both a saturated market and an uncertain demand trajectory, further reducing feasibility of opening a new store in this location.

# Qualitative Analysis

The population in Zip Code 35242 is predominantly made up of Traditional Times, Big Fish Small Pond, and Striving Selfies. **These demographics do not strongly align with NDLS’ core target market, which consist of young professionals and millennial families.**

NDLS thrives in areas where millennial families and young professionals are prevalent, as these groups prioritize customizable, fast-casual dining options with health-conscious menu choices. In contrast, the majority population in 35242 comprises mature adults without children, who may have **more established dining habits, favoring sit-down restaurants or home-cooked meals over fast-casual dining.** Also, mixed-income and downscale segments in the area suggest a population with lower discretionary income, which may not align well with NDLS’ pricing structure and brand positioning.

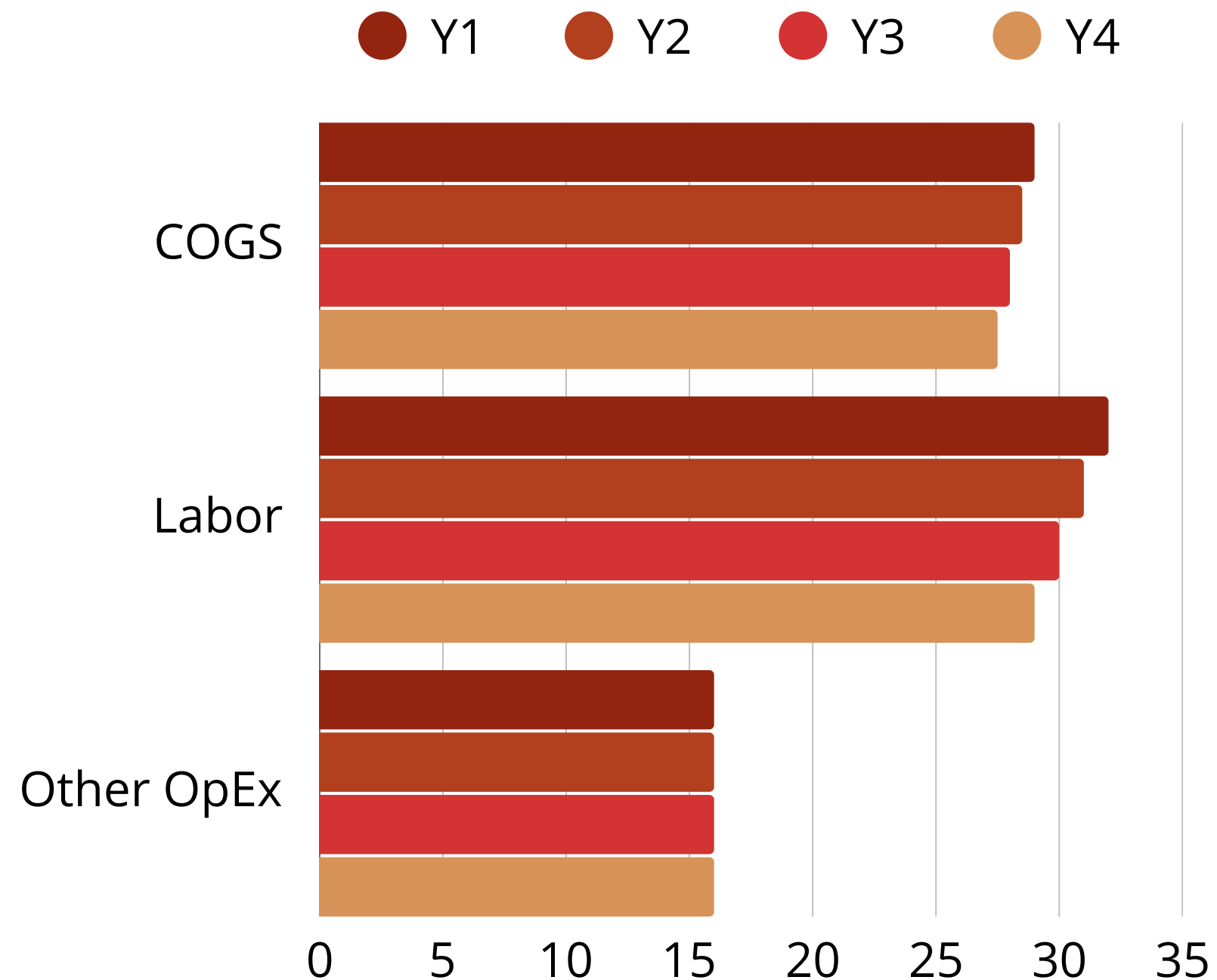
The projected revenue for this location may never reach NDLS’ target AUV of 1.41M, which is essential for long-term profitability. The lower frequency of fast-casual dining in this area, combined with intense competition from existing restaurant options, further diminishes financial viability for this location.

| NDLS Target Customer                | Zip Code 35242 Majority               |
|-------------------------------------|---------------------------------------|
| Young professionals, urban families | Mature adults without kids            |
| Higher discretionary income         | Mixed-income, downscale segments      |
| Frequent casual dining habits       | Lower frequency of fast-casual dining |



# Quantitative Analysis: Future Financial Analysis and Profit Projections

# Quantitative Analysis



Revenue and net income projections also highlight concerns for store performance. By Year 4, the projected revenue surpasses NDLS' 2026 Average Unit Volume (AUV) target of \$1.41 million at a revenue of \$1.605 million. Additionally, the **Restaurant Contribution Margin (RCM) at maturity is 7.3% higher** than NDLS' Q4 RCM of 14.7%, indicating opportunity based on revenue projections.

However, these revenue projections only have a 54% confidence and expenses such as labor (starting at 32% of revenue) and Cost of Goods Sold (starting at 29% of revenue) put additional strain on financial viability, with more than 77% of revenue being spent across three accounts.

# Quantitative Analysis

**Our financial analysis of ZIP code 35242 shows that opening a new NDLS location in this area is not the right investment.**

The Net Present Value (NPV) is negative, indicating that the expected cash flows from the store will not generate enough returns to cover the initial capital investment. In addition to this, the Internal Rate of Return (IRR) is lower than NDLS' Weighted Average Cost of Capital (WACC) of 10%, which means that the project fails to meet the company's hurdle rate. Additionally, considering the revenue projection is based on a regression with only 54% confidence, there is a large chance that revenue could be even lower than projected, especially with demographic data indicating few residents in Noodle's target demographic. Overall, the finances indicate that pursuing this location would not result in value creation.





**Thank You**